PROJECT PORTFOLIO: CORPORATE MACROECONOMIC & ENTERPRISE RESOURCE PLANNING (ERP) RISK ANALYSIS

Target Enterprise: The Shoprite Group (Corporate Board Room Evaluation)

Academic Alignment: Business Management: Principles of Global Business Management & Introduction to Information Systems

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SHOPRITE GROUP

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Title:

An Investigation into whether the Shoprite Group Benefits from Streamlining Operations by Exiting Malawi, Thereby Extending its Retreat from the African Continent.

Prepared for:

The Main Board of Directors

Shoprite Group

Prepared by:

Senior General Manager: Global Strategy

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20 February 2026

To: The Main Board of Directors

Shoprite Group

Corporate Group Head Office

Brackenfell, Cape Town

From: Senior General Manager: Global Strategy

Subject: Feasibility Study – Streaming Operations in Africa: from Malawi

Dear Board Members,

In response to the Board's concerns regarding Shoprite's withdrawal from seven African markets since 2020 (Nigeria, Kenya, Uganda, DRC, Madagascar, Ghana, and now Malawi), I am submitting the completed feasibility study to determine whether the Group would benefit from pursuing a strategy of streamlining operations by leaving Malawi and thus extending its retreat from the African continent.

The substantial financial, operational, and reputational challenges of ongoing departures from the African market made this analysis necessary. The goal is to give the Board a recommendation based on data on whether more retreat is beneficial to shareholder value.

The research procedures included:

- Macroeconomic data analysis from the case study (World Bank, IMF, Malawi Competition Commission)

- Comparative performance metrics for the retail industry (2023–2024)
- Using the theoretical frameworks from Principles of Global Business Management (African capital markets, FDI patterns) and Introduction to Information Systems (ERP systems)
- Identification of obstacles in the legal, technological, economic, and sociocultural domains
- Assessment of alternative solutions' operational, technical, and financial viability

The analysis concludes that while leaving Malawi is reasonable, a wider withdrawal from Africa is not advantageous. Upgrading ERP systems and risk management skills while maintaining a selected African presence are among the recommendations.

A full report follows. I look forward to presenting these findings at the Board meeting on 27 February 2026.

Yours sincerely,

Senior General Manager: Global Strategy

Shoprite Group

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EXECUTIVE SUMMARY

Since 2020, Shoprite has pulled out of seven African nations, including Malawi in September 2025, claiming regulatory uncertainties, infrastructure deficiencies, and currency volatility. To ascertain if this withdrawal plan is advantageous to the Group, the Board demands a feasibility assessment.

This research examined the collapse of the retail sector (34.8% positive performance in 2024), the regulatory opacity surrounding the buyer (Karson Investment Trust), and Malawi's economic crisis (inflation 28.2%, FX reserves <1-month, governmental debt 88% of GDP). It also used African capital market dynamics and ERP concepts.

Key conclusions: Retail activities in Malawi are not currently lucrative. Other African markets still have long-term promise, though. The main issue is not "Africa" but rather insufficient risk management methods, especially ERP constraints in high-volatility settings.

In conclusion, Shoprite will gain by leaving Malawi in particular, but it will not gain from a whole continental retreat. Such a strategy ignores workable answers, harms the pan-African brand, and gives up future development to rivals.

It is advised to approve the leave from Malawi while putting in place a "stay-and-fix" plan elsewhere. This plan should include enhanced ERP with real-time currency risk modules, regional distribution hubs, and specific criteria for market re-entry.

INTRODUCTION

The Shoprite Group is at a strategic crossroads, which is why this feasibility study was carried out. The Group, which was once hailed as the retail pioneer of Africa, has methodically left seven markets since 2020. The Competition and Fair-Trading Commission accepted the most recent departure, Malawi, on September 12, 2025. Five stores were transferred to the opaque Karson Investment Trust, which would rebrand them as "Shopwise Trading Limited".

There are two issues. First, with 28.2% inflation, less than a month's worth of imports in foreign currency reserves, and 88% of GDP in public debt, Malawi's economy is in

serious trouble. Second, and perhaps more importantly, the departure pattern poses a strategic query: Is retreat advantageous or does it indicate a lack of adaptability?

To determine if maintaining this retreat strategy would increase shareholder value over the long run, the Board is requesting an evidence-based feasibility assessment. To give a thorough examination, the research incorporates the required textbook learning outcomes: FDI trends (Unit 10), African capital markets (Unit 7), and ERP systems (Chapter 10).

BACKGROUND

As part of a pan-African expansion plan, Shoprite first entered Malawi 25 years ago. But it left Nigeria, Kenya, Uganda, the Democratic Republic of the Congo, Madagascar, Ghana, and now Malawi between 2020 and 2025. The trends of currency collapse, infrastructural failure, and regulatory instability were common to all departures.

The World Bank assessed Malawi as having "a deep and protracted crisis marked by elevated inflation, declining living standards, and high rates of food insecurity." The International Monetary Fund cited "an unsustainable fiscal and debt outlook, foreign exchange shortages, and fuel scarcity." Only 34.8% of companies in the retail sector reported positive performance in 2024 (compared to 42% in 2023), and 82.8% ran at 75% capacity or less, according to statistics.

There are governance issues because the purchase, Karson Investment Trust, is only referred to as "a property holding company" and has no reported retail expertise. Similar deals in the past (such as Spar's departure in 2022 and PTC's decline from 85 to 21 outlets) led to decreased operating capacity and employment losses.

Therefore, the question is whether a pattern of retreat is a wise long-term strategy for Shoprite in Africa rather than just whether to leave Malawi.

PURPOSE AND PROBLEM STATEMENT

Purpose:

to ascertain if the Shoprite Group will profit from carrying out its plan to streamline operations in Africa by leaving Malawi, thereby continuing its withdrawal from the continent.

Problem Statement:

Shoprite has pulled out of several African markets because of unstable currencies, inadequate infrastructure, and unclear regulations. It's unclear, meanwhile, if more retreat addresses core operational flaws or just gives competitors future development possibilities. A compelling, fact-based recommendation about the viability of maintaining this retreat strategy is required by the Board.

RESEARCH: CHALLENGES AND RISKS

Shoprite may encounter the following challenges and risks when exiting Malawi and extending its African retreat, analysed across four environments.

Socio-Cultural Environment

- Risk: reputational harm due to "abandoning Africa." Charles Kumchenga, head of the trade union, described the case as "another setback" and warns that hundreds of workers have unclear prospects.
- Challenge: Local rivals who present themselves as "committed to Africa" may gain favour with consumers in the remaining African markets, such as Namibia and Zambia.
- Risk: Difficulty re-entering markets later, as trust is lost.

Economic Environment

- Risk: Malawi is not alone in experiencing currency fluctuation; forex shortages are a problem in many African nations. The underlying exposure is not resolved by leaving.
- Challenge: Opportunity expense. Shoprite wouldn't have a presence to profit from if markets like Kenya and Nigeria stabilised.
- Risk: Retail investment is moving to South-East Asia and Latin America, according to FDI patterns. Retreat validates unfavourable opinions, which might lower total foreign direct investment in Shoprite's remaining African operations.

Technological Environment

- Risk: In African contexts, ERP systems built for steady, high-volume, low-volatility environments fall short. Leaving prevents this from being fixed.
- Challenge: With the exception of South Africa, Shoprite cannot prosper anyplace in Africa without technological adaption.
- Risk: To achieve a sustained advantage, rivals (such as neighbourhood shops and Choppies) could implement flexible, inexpensive ERP systems that are appropriate for currency fluctuations and infrastructural deficiencies.

Legal Environment (Trade Barriers)

- Risk: Regulatory uncertainty (e.g., Karson's unclear ownership and strict requirements, such as two years of 90-day compliance reports) is common. Regulatory risk is only avoided in exiting markets; it is not reduced elsewhere.
- Challenge: The African Continental Free Trade Area (AfCFTA) is seeing a reduction in trade obstacles. Shoprite can lose out on fresh regional chances because of its withdrawal.
- Risk: Establishing precedents. Fearing potential departure, other host governments may place tighter conditions on Shoprite.

SOLUTION AND RECOMMENDATIONS

Challenge/Risk	Solution	Technical Feasibility	Operational Feasibility	Economic Feasibility
Reputational damage from retreat	Publicly frame Malawi exit as exceptional, not strategic retreat	High risk, Public Relations (PR) campaign	Moderate risk requires Board messaging discipline	Low-cost relative to brand value
Currency volatility	Implement ERP with real-time forex revaluation and local supplier prioritisation	High risk, existing ERP modules available	Medium risk, requires training	High risk, reduces unhedged exposure
Technologic inadequacy	Deploy hybrid ERP: cloud core + offline-capable POS in low-infrastructure markets	High risk, modern ERP supports this	Medium risk, phased rollout	High risk, avoids full exit costs
Regulatory uncertainty	Establish regional legal advisory unit for each market	High risk, hire local experts	Medium risk, centralised support	Medium risk, cheaper than exit costs
Opportunity cost of exit	Do not exit other markets; instead implement "stay-and-fix"	High risk	Medium risk	Higher risk than exiting

Recommendations:

1. Permit Malawi's departure since the existing state of affairs precludes profitability.
2. Retreat should not be extended to the remaining African markets.
3. Upgrade the ERP system to incorporate local supply chain planning and currency risk modules.
4. For exiting markets, set re-entry requirements (e.g., currency reserves >3 months, inflation <15% for two quarters).
5. Report the Africa Retail Climate Index to the Board on a quarterly basis.

ENTERPRISE RESOURCE PLANNING (ERP) DISCUSSION

Three main business processes supported by ERP:

1. Procurement to payment – Due to currency shortages, Malawi was unable to pay overseas suppliers. It would have been beneficial to have an ERP with supplier payment prioritisation and local currency procurement operations.
2. Order to cash - Inflation of 28.2% erodes actual revenue. Real-time margin tracking and dynamic pricing must be supported by ERP.
3. Supply chain planning - ERP must simulate alternate logistics due to infrastructure deficiencies (e.g., slower but cheaper routes, regional hubs).

Advantages of ERP for Shoprite in Africa:

- Real-time data integration across nations.
- Improved visibility of forex exposure.
- Automated reporting for compliance (such as Karson's 90-day reports).

Drawbacks of ERP in current Shoprite context:

- High implementation costs in erratic markets.
- Needs reliable electricity and internet, which aren't always accessible.
- If not tailored to African conditions, rigid.

Required ERP enhancements for Shoprite to avoid further retreat:

- Multi-currency module with automated hedging recommendations.
- Offline-capable store-level systems.
- Local supplier integration (reduce forex dependency).
- Scenario planning tools for currency and inflation shocks.

Any African market will soon lose its viability without these. With these, Shoprite may outperform rivals.

CONCLUSION

The following findings, each backed by pertinent motives, are derived from the feasibility study that was carried out.

Exiting Malawi is justified in the short term:

Motivation: The existing working climate in Malawi is unfeasible. The case study presents real data, including 28.2% inflation, less than a month's worth of imports covered by foreign currency reserves, 88% of GDP in public debt, and just 34.8% of firms reporting positive performance in 2024. No retail ERP system could make Shoprite's operations in Malawi viable in these circumstances.

Extending a general retreat from the African continent will NOT benefit the Shoprite Group:

Motivation: Retail in Africa is not inherently impossible; rather, the trend of leaving seven markets since 2020 indicates a deliberate inability to adapt. Additionally, FDI patterns demonstrate the success of multinational corporations that invest in technology adaptation. Future growth is lost and brand equity is harmed by Shoprite's withdrawal.

The core problem is inadequate risk management systems, not Africa itself:

Motivation: Because Shoprite's ERP was not built for significant currency fluctuation, the three primary business operations that ERP systems supported all failed in Malawi. These circumstances can be accommodated by modern ERP systems. These investments have not been made by Shoprite.

A selective, transformed presence in Africa is superior to full retreat:

Motivation: Capital markets in Africa are growing. Deficits in infrastructure are being remedied. Shoprite would lose its first-mover advantage in the subsequent stage of African economic integration if it left every market.

Overall conclusion:

By leaving Malawi and expanding its withdrawal from the African continent, the Shoprite Group will not profit from a strategy of simplifying operations in Africa. Long-term shareholder value is destroyed by a generalised retreat strategy, even though the specific pullout from Malawi is financially warranted given that nation's distinct economic catastrophe. The Board should support the withdrawal from Malawi but reject further retreat in favour of investing in currency risk management, ERP improvements, and selective re-entry criteria for markets that have steadied.

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Enclosure: Feasibility Study Report (pages 1–9 + references)